

steady capital gain from Coca-Cola stock or Philip Morris stock? Don't like the idea of smoking? Well, then, just pick Coke!" Those who have made money owning stocks from 1991 to today are the same types who made money in 1967-1968 and 1971-1972. They may look smart for awhile by being ignorant of the historic market negatives, but they will pay for it later, big time.

The level of sophistication among today's investors is at an all-time low, but it is still not low enough to satisfy the sellers of financial services. The Fidelity mutual fund group now advertises with infomercials on late night TV, sandwiched in between the ads for fishing lures and sunglasses. The NASDAQ over-the-counter exchange has been advertising on Monday Night Football, a prime time television slot. Apparently they are trying to ferret out that last guy, the one with the beer and the chips, who does not yet have all of his spare change invested in the stock market. The NASDAQ, furthermore, in 1994 began advertising that it is "the stock market for the next hundred years." That would have been a useful vision in 1974 or 1984. It took twenty years of advance, though, for the exchange to become bold enough to invent that slogan, and it is hypnotizing to those easily swayed.

Today, the public, *because* of its naiveté, has adopted the same chutzpah as the professionals. Television commentators, newspaper columnists and university professors, who are nonprofessional members of the public, have been presenting themselves as market advisors. After all, it is so easy to say "buy and hold," why shouldn't they? One of our subscribing money managers who recently adopted a bearish stance on the market heard from a client who called to say, "A short position is so foolish that my 12-year-old kid could trade better." That may be a true statement, but *when* it is a true statement, the market's long-established trend is near a reversal. I label this attitude with the oxymoron "aggressive complacency," which I feel describes the arrogance and even vehemence with which some people express their disdain for caution.

I saw two Joseph Granville "shows" in the late 1970s and early 1980s. Granville enjoyed explaining that when buyers no longer politely ask, "Please sell me your stock," but instead grab your collar and scream, "Gimme that bag!," don't argue with them, "just give it to 'em!" These "bagholders" are not only dumb, he was saying, they are coarse and demanding, too, so they get what they deserve. Today, the public is screaming "Gimme that bag!" to every imaginable seller of questionable paper, including junk bonds, new issues, low priced stock funds, and repackaged mortgage and consumer debt,